



IF YOU'RE ONE of the millions of IPL fans relishing the high-octane excitement of the cricket tournament on JioCinema, chances are you've seen Rapido's '*Bike Wali Taxi Sabse Saxi* (bike-taxis are the best)' advertising blitz. One of the ads features a young woman ditching a dreadfully crowded bus in favour of the nimble two-wheeler taxi service that arrives in moments. The underlying message is clear—bike-taxis are affordable, convenient and safe.

56 | “But which city are they advertising it for?” asks a senior executive at the bike-taxi vertical of one of the leading cab aggregators, who wishes to remain anonymous. “In Delhi and Maharashtra, they are banned. In Bengaluru and many other cities, they are a risk because auto unions wouldn't let their riders operate.”

The ad campaign has been launched amidst a challenging time for bike-taxi service providers, even as they confront bans in important markets like Delhi and Maharashtra, and encounter significant operational challenges in several other states, such as Karnataka and Tamil Nadu. “But they don't care,” says the executive. “They will continue to operate until cops show up at

their doors. Then they may take a pause, but will resume in no time. That's been their strategy.”

Rapido and other ride-hailing platforms have been facing severe legal troubles for over a year now. For instance, Karnataka had asked the platforms to stop three-wheeler services, accusing them of overcharging and harassing customers. Separately, Rapido—that also has autorickshaws on its platform—was refused a licence to operate in Maharashtra. Even Delhi banned bike-taxis for violating the Motor Vehicles Act, while Madurai city police warned Rapido riders of strict action.

Clearly, the battle isn't just about Rapido. The whole bike-taxi industry—where regulations vary by city and state—is impacted. While some states such as Goa and Haryana have legalised bike-taxis, in other regions, they largely operate in a legal grey area. Major players such as Rapido, Uber Moto and Ola Bike have struggled to navigate this uncertain terrain, with frequent run-ins with autorickshaw unions and government agencies.

“They [Rapido] have gained significant market share over the other two [Ola and Uber] by running their operations when others shut down to comply with government regulations,” says a former senior executive at Uber, wishing to remain anonymous.

It's no secret that start-ups often leverage regulatory ambiguity to disrupt traditional industries. First, they establish themselves as market disruptors by offering convenience and better pricing; then they lobby for regulatory changes to legitimise their operations. Rapido has been driving such a disruption for bike-taxis in India. Today, their story—similar to how Uber's cab-hailing business navigated the initial legal challenges it faced in India for not complying with local laws, but whose convenient services sparked a public debate on the need for regulatory changes that forced the government's hand

TIGHT CORNERS

WHILE RAPIDO'S REVENUES HAVE MORE THAN TRIPLED IN THE PAST THREE YEARS, ITS EXPENSES AND LOSSES HAVE NEARLY DOUBLED IN THE SAME PERIOD

• REVENUES • EXPENSES • LOSSES

RAPIDO'S FINANCIAL RESULTS FOR THE PAST THREE YEARS; SOURCE: RoC

